Goldman Sachs' Copper Outlook and BHP's $6 Billion Escondida Decision

Near-term earnings exposure and the economics of replacement

Research cutoff: 5 November 2026

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Goldman's revision is worth about $2.8bn on BHP's own FY2026 sensitivity

Static copper EBITDA differential, US$bn, from BHP's disclosed FY2026 sensitivity

#	Item	Differential
1	**GS revised vs previous**	2.83
2	**GS revised vs World Bank**	4.25

US$bn, FY2026-static

1. $15,400/t against $13,800/t, applied to BHP's $39m per US¢1/lb sensitivity; linear.

2. $15,400/t against the World Bank's $13,000/t for the 2027 annual average, on the same basis.

Both figures are sensitivities, not forecasts. The replacement concentrator needs about 199ktpa to clear a 10% return in SMPT's hypothetical base case, rising to 333ktpa when benefits are shorter and start later. Funded pre-FID readiness is the supported position; ranking construction timing needs an operating counterfactual BHP has not published.

Source: BHP FY2026 results presentation and Annual Report 2026; World Bank CMO October 2026; Goldman Sachs revision as publicly reported; SMPT calculations

Goldman's revised 2027 average sits 18.5% above the World Bank

Calendar-2027 copper price references, US$/t



The $15,400/t annual average comes from public reporting; the original 19 October note was not obtained. Goldman's $15,600/t end-2027 view is a different measure and is not charted. The $14,405/t forward is a dated 19 October snapshot, not a tradable curve.

Source: World Bank CMO October 2026, Table 1; FinancialJuice and Reuters via Business Recorder reporting of Goldman Sachs; Goldman Sachs Exchanges, 23 October 2026

Copper EBITDA rose to $18.2bn in FY2026 as production slipped

BHP reported results, US$bn unless labelled, fiscal years to 30 June

#	Item	FY2025	FY2026
1	**Copper revenue**	22.530	29.031
2	**Copper underlying EBITDA**	12.326	18.187
3	**Group underlying EBITDA**	25.978	32.947
4	**Copper production, Mt**	2.017	1.953

US$bn unless labelled

2 Copper is 55.2% of group EBITDA by simple division; BHP's stated 54% share excludes Group and unallocated items.

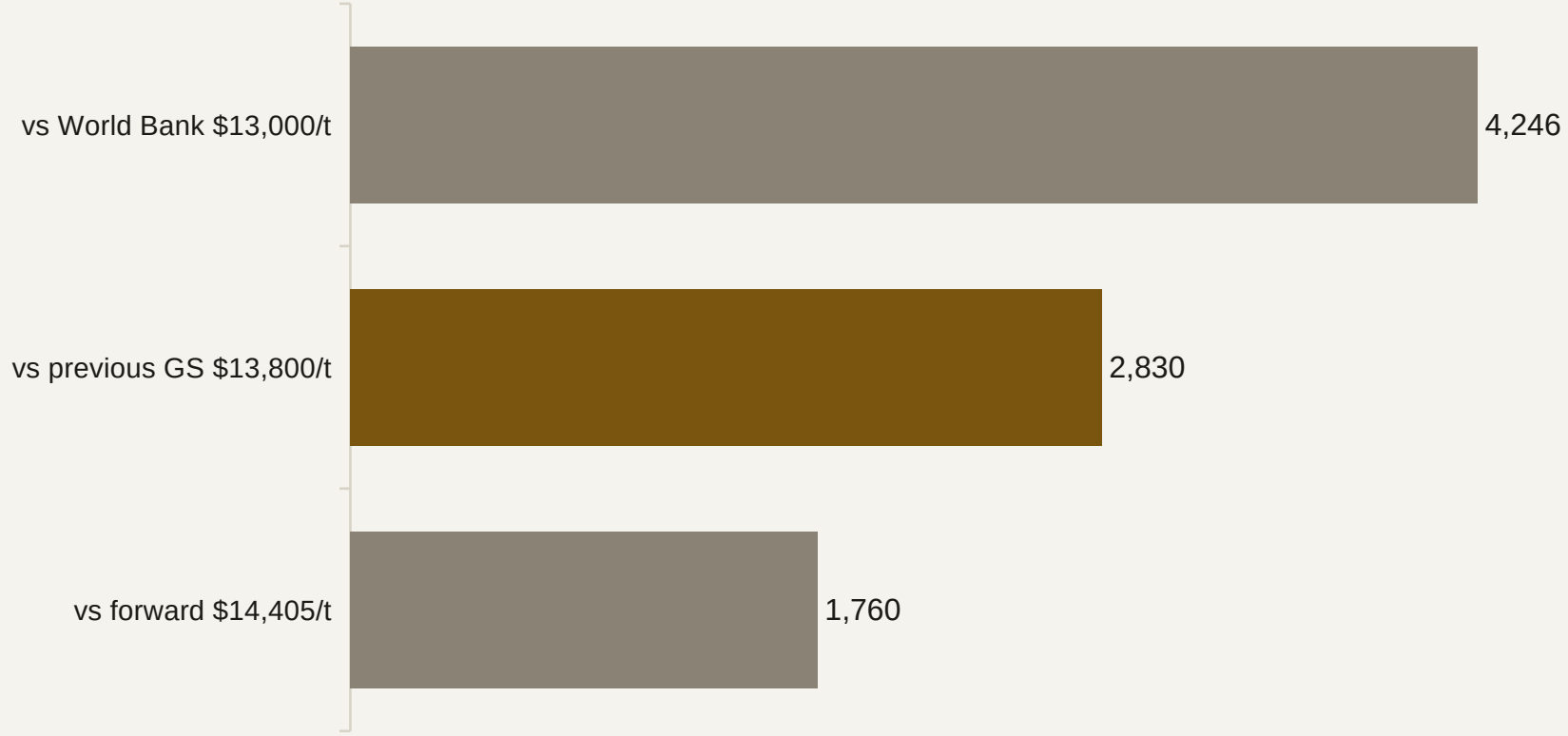
4 Group copper production on the mixed basis BHP reports.

EBITDA rose by $5.861bn while group production fell, as the average realized price moved from $4.25/lb to $5.74/lb. The figures show the size of the exposure; they do not attribute the whole increase to price.

Source: BHP FY2026 results presentation and exchange release; BHP Annual Report 2026

Each price comparison scales BHP's $39m sensitivity in a straight line

Static FY2026 copper EBITDA differential against Goldman's revised $15,400/t, US$m

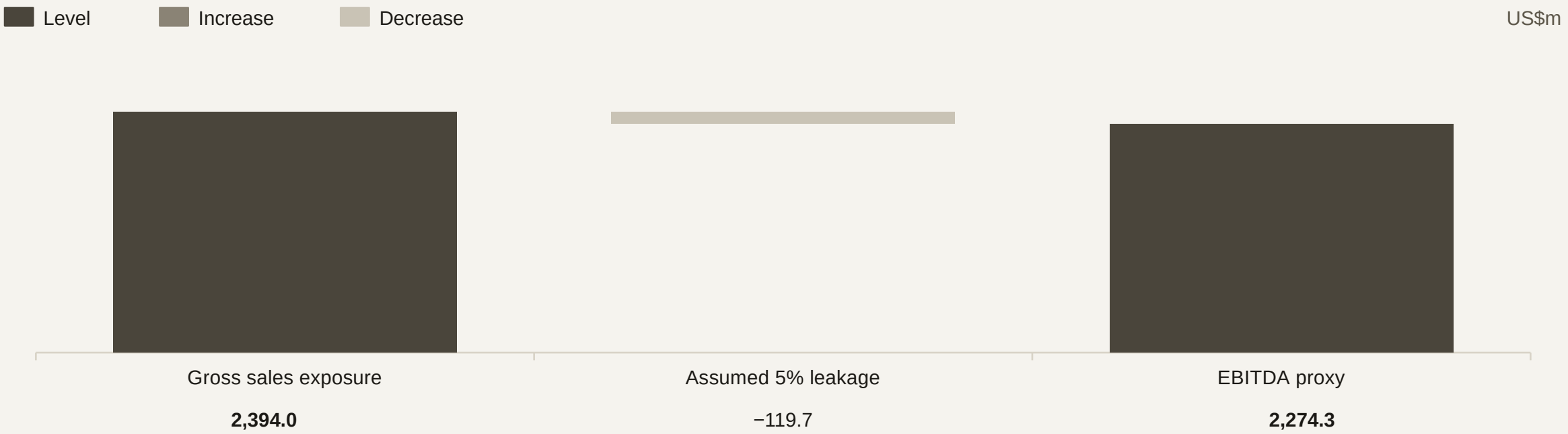


Differential = price gap ÷ 2,204.6226 × 100 × $39m. The results equal about 9% and 13% of FY2026 group EBITDA for the previous-Goldman and World Bank comparisons. BHP realized $7.01/lb (about $15,454/t) in Q1 FY2027. Linear sensitivities, not forecasts.

Source: BHP FY2026 results presentation; BHP Q1 FY2027 operational review; SMPT Price_Sensitivity calculations

A guidance-volume proxy puts the FY2027 effect near $2.27bn

Illustrative FY2027 EBITDA effect of the $1,600/t revision, US$m

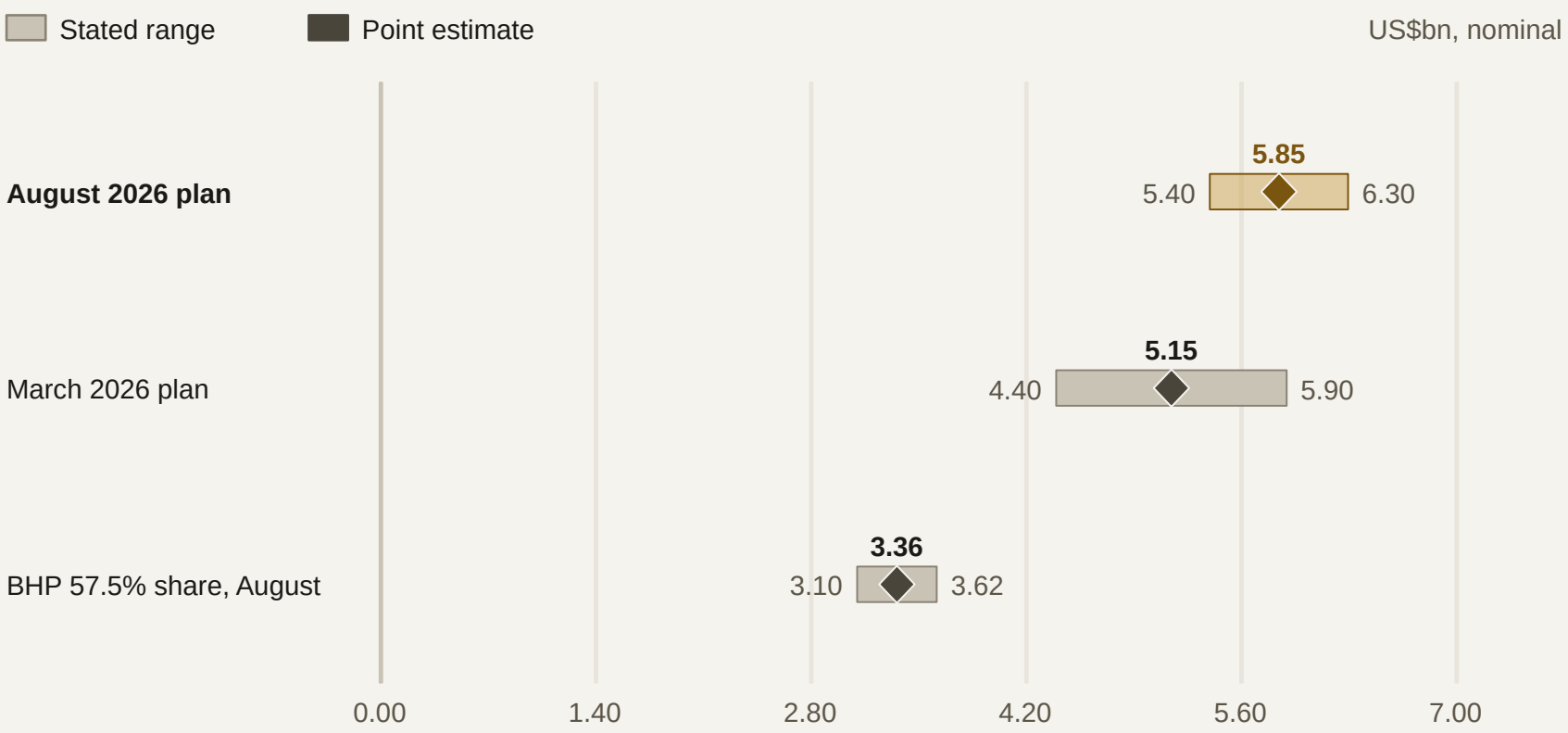


1.575Mt guidance midpoints × 95% assumed payable factor = 1.496Mt; × $1,600/t = $2,394m; less 5% assumed leakage = $2,274.3m, about 19.6% below the $2,830m issuer-static figure. The two measures use different periods and volume scopes. Neither is a forecast or a measure of funding capacity.

Source: BHP Q1 FY2027 operational review guidance; SMPT methodology proxy calculation

BHP raised the concentrator capex range to $5.4–6.3bn in August

Escondida replacement concentrator capital cost, US$bn nominal; points are range midpoints



The August midpoint is 13.6% above March, and the output midpoint 4.2% higher (230–270ktpa against 220–260ktpa, FY34–43 average). The change is a plan revision, not a reported overrun. Output replaces Los Colorados rather than adding capacity. Permit submitted 17 March 2026; RCA pending; FID CY2027–28; first production CY2031–32.

Source: BHP FY2026 results presentation; BHP Escondida permit submission, March 2026; SEIA index, retrieved 5 November 2026

The midpoint capex needs $839m a year of after-tax benefit at 10%

SMPT hypothetical reverse appraisal, US$m nominal

#	Item	Value
1	**Capex midpoint**	5,850
2	**Present value of capex**	4,435
3	**Required annual benefit**	839

US$m, nominal

2 Five equal year-end draws, 2027–31, discounted at 10% nominal.

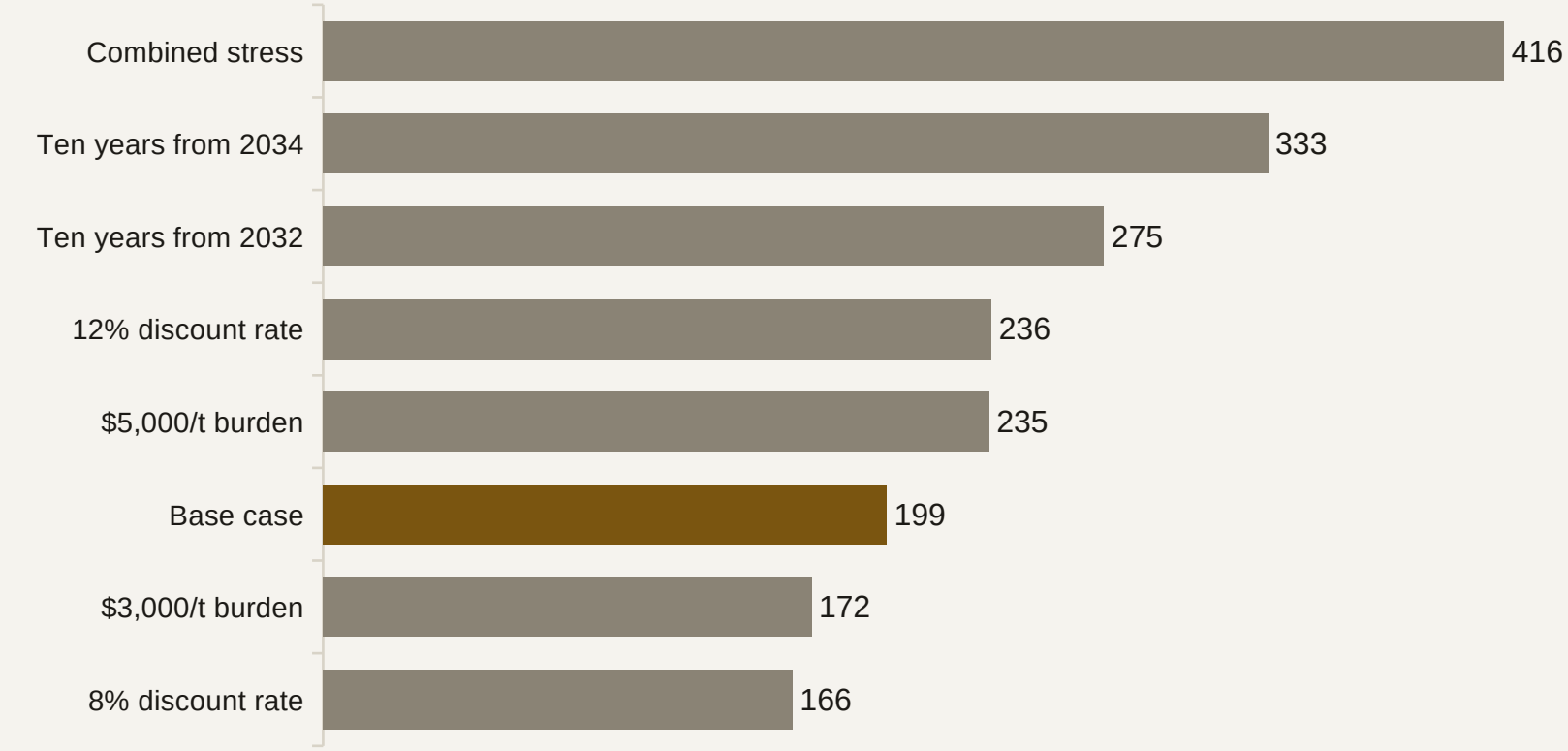
3 Twenty years from 2032. At $10,494/t, a $4,000/t assumed burden (not C1) and 35% tax, this needs 198.8ktpa.

> This is SMPT's hypothetical calculation against a no-build baseline. BHP discloses a 16–18% IRR at $4.76/lb (about $10,494/t); these calculations do not reproduce it.

Source: BHP FY2026 results presentation; SMPT methodology and Threshold_Sensitivities calculations

Shorter or later benefits raise the threshold from 199ktpa to 333ktpa

Annual output needed for a 10% nominal return, SMPT hypothetical cases, ktpa

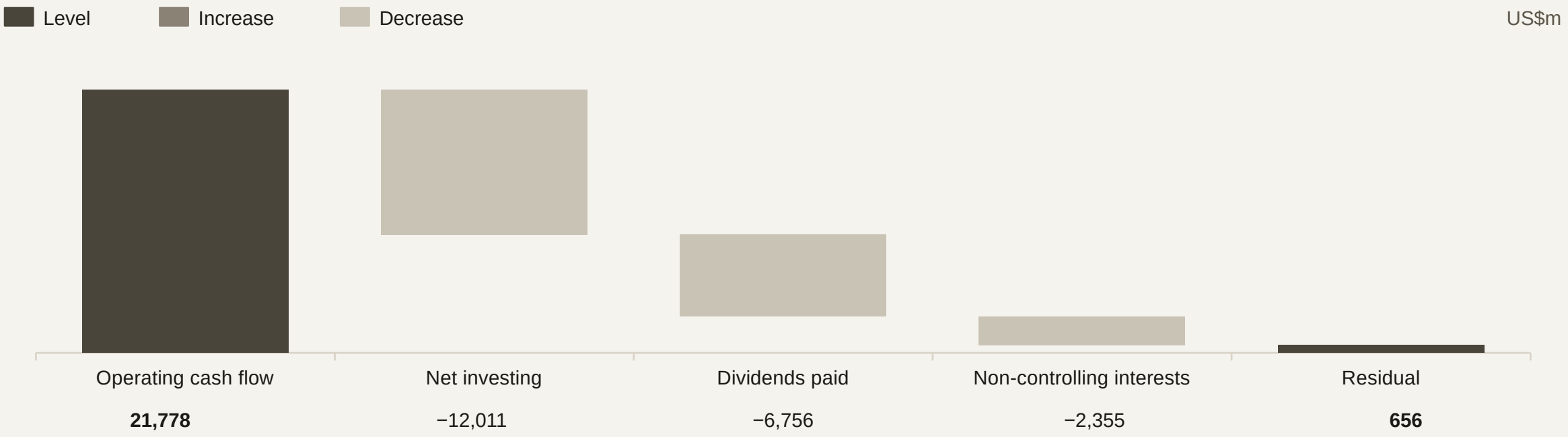


BHP's 230–270ktpa guidance is an FY34–43 average and does not establish twenty flat years. Combined stress applies $8,500/t, +20% capital and a two-year delay. Each case changes one input from the base unless labelled.

Source: SMPT Threshold_Sensitivities calculations; BHP FY2026 results presentation for the output guidance

Dividends and minority payouts absorbed almost all FY2026 free cash flow

BHP group cash flow, FY2026, US$m

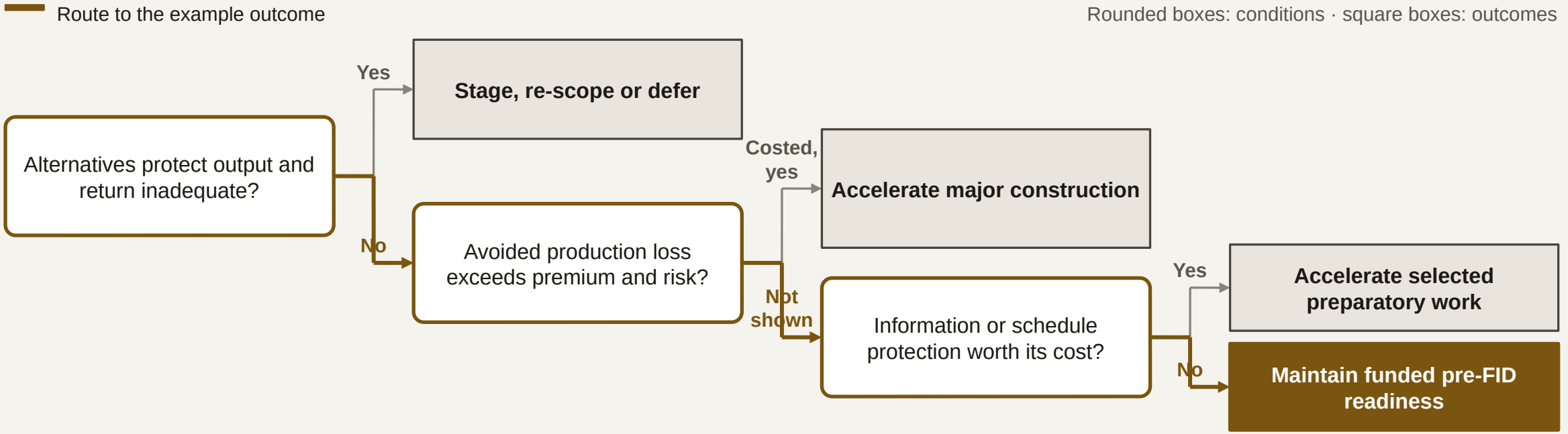


21,778 − 12,011 = 9,767 free cash flow; less 6,756 dividends and 2,355 to non-controlling interests leaves 656. The $4.3bn silver stream is a financing inflow and is excluded. Copper free cash flow of $12bn (FY27–31) and $24bn (FY32–35) are management scenarios. Group capex runs about $11bn a year; net debt $8.694bn, cash $18.532bn, undrawn RCF $5.5bn.

Source: BHP Annual Report 2026, cash flow statement and capital management; BHP FY2026 results presentation

Public evidence supports funded readiness ahead of a construction decision

Evidence tests for the four timing actions; highlighted outcome is the supported position



Ranking the actions needs annual with-build and no-build output, alternative processing, capital draws, ramp-up, costs, tax and closure obligations, none of which BHP has published. Equal schedule shifts cancel in the discount factor, so timing alone does not rank them.

Source: SMPT analysis of BHP FY2026 results presentation and Annual Report 2026; SMPT methodology